

DECLARATION BY RESIDENT ON FOREIGN CURRENCY ASSET

Name of Applicant : _____
(also referred to herein as Applicant, I, me or my)

Trading Account Number : _____ Dealer Code : _____

FOREIGN CURRENCY ASSET BY RESIDENT

(This Declaration by Resident is mandatory and must be completed for foreign currency asset under the Foreign Exchange Notices as set out below).

I hereby declare that for foreign exchange notices purposes:

Tick	Signature

Currently I do NOT have any domestic Ringgit borrowing/financingⁱ.

*For foreign currency asset offshoreⁱⁱ and foreign currency asset onshore^{iv} – out of a joint account opened/maintained by two or more individuals, the applicant is required to declare for or on behalf of other joint account holder(s). The applicant is required to declare its compliance with the applicable threshold below in the event any one of the joint account holders has domestic Ringgit borrowing/financing.

*However, in the event of any margin application has been approved and accepted by me, I would be deemed to have domestic Ringgit borrowing/financing by virtue of maintaining a margin financing account.

Tick	Signature

Currently I have domestic Ringgit borrowing/financing and hereby confirm that my total foreign currency asset offshoreⁱⁱ and foreign currency asset onshore^{iv} including Demand Draft ("DD") / Telegraphic Transfer ("TT") / Dual Currency Investment ("DCI") / Foreign Currency Account ("FCA")/ Foreign Currency ("FC") Fixed Deposit/ FC denominated Structured Investment/ any FC denominated deposits or investments application complies with the following thresholds:

	Applicable Threshold
	For resident ^v individual, sole proprietorship and a general partnership
Source of the fund for foreign currency asset including DD/TT/ DCI/ FCA/ FC Fixed Deposit/ FC denominated Structured Investment/any FC denominated deposits or investments	Up to RM1 million equivalents[@] per calendar year using funds sourced from the aggregate of: • conversion of Ringgit into Foreign Currency; • Trade FCA; and • swapping of Ringgit-denominated financial assets in Malaysia for a financial asset outside Malaysia. [@]Computed in aggregate based on Resident Individual, sole proprietorship and General Partnership's investment in Foreign Currency Asset.

Tick	Signature

Currently I have domestic Ringgit borrowing/financing and my/our total foreign currency asset (including DD/TT/ DCI/ FCA/ FC Fixed Deposit/ FC denominated Structured Investment/any FC denominated deposits or investments application) exceeds the above applicable threshold.

I hereby provide you with the relevant approval letter from Bank Negara Malaysia ("**BNM**") to effect the DD/TT/ DCI/ FCA/ FC Fixed Deposit/ FC denominated Structured Investment/ any FC denominated deposits or investments application#. I understand that CGS International Securities Malaysia Sdn. Bhd. may decline or delay any foreign currency asset that does not fulfil any conditions set in BNM's approval letter.

I further undertake to seek specific approval from BNM in the event my foreign currency asset offshore exceed the limits set out above and I further undertake to promptly deliver to CGS International Securities Malaysia Sdn. Bhd. a copy of the specific approval duly granted to me by BNM.

I further declare that CGS International Securities Malaysia Sdn. Bhd. is not responsible to advise the Applicant of:

- Any exchange control or similar restriction which may be imposed by the local laws or regulations in the country in which payment is to be effected and shall not be liable for any loss or delay as a result of the payment being subject to such control and restriction. Applicant is strongly advised to make his own inquiries.
- Any charges which may be imposed by overseas bank and shall not liable if such information cannot be provided.

I make this declaration in full knowledge and awareness of reliance placed by CGS International Securities Malaysia Sdn. Bhd. on such declaration as a basis to undertake any foreign currency asset on my behalf.

I undertake to notify CGS International Securities Malaysia Sdn. Bhd. immediately in writing of any changes in the declaration given herein.

Signature of Applicant

Name:

NRIC/Passport No.:

Designation:

Date (Mandatory):

#Acknowledgement Receipt of the BNM's Approval Letter

Officer / Relationship Manager

Date:

DEFINITION FOR FOREIGN CURRENCY ASSET BY RESIDENT

- i. "Domestic Ringgit Borrowing/financing" means:
- (a) any Borrowing/financing in Ringgit obtained by a Resident from another Resident; or
 - (b) any obligation considered or deemed as Domestic Ringgit Borrowing/financing under any of the FE Notices.

Note:

For purposes of determining the Domestic Ringgit Borrowing/financing status of a Resident Entity—

- (a) the Resident Entity is deemed to have a Domestic Ringgit Borrowing/financing when another Resident Entity with Parent-Subsidiary Relationship has a Domestic Ringgit Borrowing/financing; and
 - (b) the following shall not be considered as Domestic Ringgit Borrowing/financing—
 - (i) a Borrowing/financing obtained from another Resident Entity with Parent-Subsidiary Relationship;
 - (ii) a Borrowing/financing obtained from its Direct Shareholder; or
 - (iii) any facility including credit facility or financing facility which is used for Sundry Expenses or Employees' Expenses only.
- "Sundry Expenses" refers to small and infrequent expenses for office supplies (e.g. stationaries), ancillary services (e.g. software and online subscription) and other minor expenses to facilitate daily business operation.
 - "Employees' Expenses" refers to business-related expenses which may include, but not limited to, travel (e.g. lodging and transportation), entertainment, health, insurance, takaful and other employees' expenses, excluding investment.
 - "Borrowing/financing" refers to the definition of "Borrowing/financing" below.

"Borrowing/financing" means

- (a) any utilised or unutilised credit facility or financing facility;
- (b) any utilised or unutilised trade financing facility, including but not limited to, trade guarantee or guarantee for payment of goods;
- (c) redeemable preference share or Islamic redeemable preference share; or
- (d) Corporate Bond or Sukuk.

Notwithstanding the above, the following are excluded from the definition of Borrowing/financing—

- (i) a trade credit term extended by a supplier for any goods or services;
- (ii) a credit limit that a Licensed Onshore Bank ("LOB") apportions for its client to undertake a Forward Basis transaction, excluding a transaction that involves—
 - (A) exchanging or swapping of Ringgit or Foreign Currency debt for another Foreign Currency debt; or
 - (B) exchanging of Foreign Currency debt for a Ringgit debt;
- (iii) a Financial Guarantee or Non-Financial Guarantee;
- (iv) an operational leasing facility;
- (v) a factoring facility without recourse;
- (vi) a credit card or charge card facility obtained by an Individual from a Resident and used for payment for retail goods or services only; or
- (vii) a credit facility or financing facility obtained by a Resident Individual from a Resident to purchase one (1) residential property and one (1) vehicle.

Note: For clarity purposes, the transactions in paragraphs (ii)(A) and (ii)(B) shall be considered as Borrowing/financing.

- ii. "Foreign Currency Asset Offshore" means –
- (a) a financial asset in Malaysia swapped for a financial asset in a Labuan Entity or outside Malaysia;
 - (b) Foreign Currency Borrowing/financing given to a Non-Resident;

- (c) working capital arising from the set up of any business arrangement outside Malaysia (including a joint venture project where no Entity is created or established);
 - (d) deposit in a Foreign Currency Account maintained with a Labuan Entity or outside Malaysia excluding reasonable amount of deposit for education, employment or migration outside Malaysia; or
 - (e) Foreign Currency-denominated—
 - (i) asset (tangible or intangible) offered by a Non-Resident or any person whose residency cannot be determined;
 - (ii) asset (tangible or intangible) in or maintained with a Labuan Entity, or outside Malaysia;
 - (iii) Financial Instrument or Islamic Financial Instrument (excluding Exchange Rate Derivatives) without Firm Commitment offered on a Specified Exchange under the CMSA outside Malaysia undertaken by a Resident through a Resident futures broker; or
 - (iv) Financial Instrument or Islamic Financial Instrument (excluding Exchange Rate Derivatives) without Firm Commitment issued or offered by a Non-Resident.
- iii. "Direct Investment Abroad" means –
- (a) an investment in Foreign Currency Asset Offshore by a Resident resulting in at least 10% equity ownership or control of a Non-Resident Entity outside Malaysia or a Labuan Entity;
 - (b) an inter-company lending by a Resident Entity to a Non- Resident Entity within the Resident Entity's Group where the Non-Resident Entity is outside Malaysia or a Labuan Entity; or
 - (c) a capital expenditure by a Resident investor in an unincorporated Entity outside Malaysia or a project outside Malaysia by an agreement with no establishment created, where the Resident investor—
 - (i) contributes capital of at least 10% of the cost of the project;
 - (ii) is entitled to at least 10% of profits from the unincorporated Entity or project; or
 - (iii) has management control of the unincorporated Entity or project.
- iv. "Foreign currency asset onshore" means
- (a) Foreign Currency-denominated securities or Islamic securities offered in Malaysia by a Resident as approved in writing by the Bank;
 - (b) Foreign Currency-denominated Financial Instrument or Islamic Financial Instrument offered in Malaysia by a Resident as approved in writing by the Bank excluding a derivative or Islamic derivative transaction entered with Firm Commitment;
 - (c) Deposit in Investment FCA with a LOB or an approved Financial Institution as specified in Notice 3; or
 - (d) Any instrument offered by a LOB with Foreign Currency delivery at maturity².
- ² Such as dual-currency investment.
- v. "Resident" means –
- (a) a citizen of Malaysia, excluding a citizen who has obtained permanent resident status in a country or a territory outside Malaysia and is residing outside Malaysia;
 - (b) a non-citizen of Malaysia who has obtained permanent resident status in Malaysia and is ordinarily residing in Malaysia;
 - (c) a body corporate incorporated or established, or registered with or approved by any authority, in Malaysia;
 - (d) an unincorporated body registered with or approved by any authority in Malaysia; or
 - (e) The Government or any state Government.
- vi. "Foreign Currency Asset" means Foreign Currency Asset Offshore and Foreign Currency Asset Onshore.